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U.S. Medical Devices

Intuitive Surgical Inc

Rating

Outperform

Price Target

ISRG **685.00 USD**

Intuitive Surgical 3Q26: Huge beat on capital; buy the dip

ISRG reported strong Q3 results after the close. Revenue grew 22% to $3.05bn (5% beat) driven by very strong systems placements (576, a 15% beat). EPS grew of 25% to $3.00 (14% beat). U.S. procedures grew 10% and beat consensus (8%) but missed elevated buy-side expectations (~12%), sending shares down ~7% afterhours. We'd buy the dip.

Debate continues on U.S. growth trend. U.S. procedures grew 10.3%, decelerating from 2Q26 (11.5%) and 1Q26 (13.5%). Positive alt data reports during Q3 had investors hoping that U.S. procedure growth could land close to 12%. But given the difficult comp (Exhibit 1) and upgrade-cycle-driven dip in installed base growth (Exhibit 4), decelerating U.S. procedure growth should not be a surprise. Our TAM math suggests ample opportunity remains for U.S. growth, and the Q3 inflection in net placements (38% growth, see Exhibit 5) provides capacity for procedure growth to move up again.

Price actions support procedure growth. ISRG highlighted three price actions—(1) volume-based pricing, (2) China policy-driven price reductions, and (3) a new Extended Use Program (EUP)—which aim to accelerate procedure growth in cost-sensitive segments and in China. Collectively, these actions represent a 3%-5% headwind to 2027 I&A revenue per procedure, better than the ~7% downside investors had feared from EUP alone. Force Feedback uptake and dV5/SP mix can offset part of this headwind.

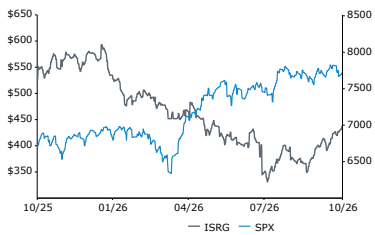
Innovation engine humming. As dV5, Ion, SP, XiR, My Intuitive+, and ASCs drive growth today, ISRG is busy innovating: new telesurgery features, dV5 workflow enhancements and imaging upgrades, AI-enabled voice and fourth-arm control, Ion upgrades (ROSE, integrated ultrasound), a new flexible endoscope for GI, etc. There is a lot to like here.

Close Date	20 Oct 2026
ISRG Close Price (USD)	438.00
Price Target (USD)	685.00
Upside/(Downside)	56%
52-Week Range	603.88/328.57
SPX	7,712.57
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	154,736
EV (USD) (M)	149,649

Performance	YTD	1M	6M	12M
Absolute (%)	(22.7)	11.4	(5.9)	(4.5)
SPX (%)	12.7	0.8	8.5	14.5
Relative (%)	(35.3)	10.5	(14.4)	(19.0)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate ISRG Outperform with a price target of $685 using a P/E multiple of 49x against our forward Q5-Q8 EPS estimate of $14.00. For more, see our SRS takeaways, thoughts on the new endoluminal GI system, and 2Q26 recap. Model: ISRG

Adjusted EPS	F25A	F26E	F27E
ISRG (USD)	8.93	**11.31**	**12.60**
OLD	--	11.08	12.71

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	10,065	11,995	13,619	16.3%
Organic Sales Growth (%)	20.5	15.5	15.7	--
Operating Earnings (M)	3,765	4,334	5,119	16.6%
Net Earnings (M)	3,215	3,608	4,224	14.6%
Adj. Operating Margin (%)	37.4	37.3	38.0	--
ROIC (%)	16.3	19.8	19.3	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	49.0	38.7	34.7
PEG Adjusted (x)	2.3	1.5	3.0
EV/EBITDA (x)	42.0	35.7	33.1
EV/FCF (x)	60.1	37.0	30.7
EV/Sales (x)	14.9	12.5	11.0

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

Intuitive reported strong Q3 financial results after the close yesterday, with 22% revenue growth to $3.05bn (5% beat), very strong systems placements (576, a 15% beat), and EPS growth of 25% to $3.00 (14% beat). U.S. procedure growth of 10.3% beat consensus (8%) but missed elevated buy-side expectations, as positive intra-quarter alt data reports pushed the "whisper" number up to around 12% U.S. procedure growth. Shares settled around $408 in afterhours trading, down ~7%.

Another strong quarter financially

Sales beat by 5%. Revenue of $3.05bn grew 22%, 5% ahead of consensus ($2.90bn). Across segments, Instrument & Accessories grew 18% to $1.80bn, 3.5% ahead of consensus ($1.74bn) on global da Vinci procedure growth of 13.7% (ahead of consensus 13.4%). Systems revenue grew 30% (!!) to $769mn and beat consensus ($681mn) by 13% on very strong da Vinci system placements (546, a 15% beat). Systems ASP of $1.61mn was approximately flat compared to last year but a bit below expectations of $1.67mn, as higher-ASP dv5 sales were partially offset by a higher mix of lower-ASP XiR systems. Services revenue grew 22% to $482mn and beat consensus ($475mn) by 2%.

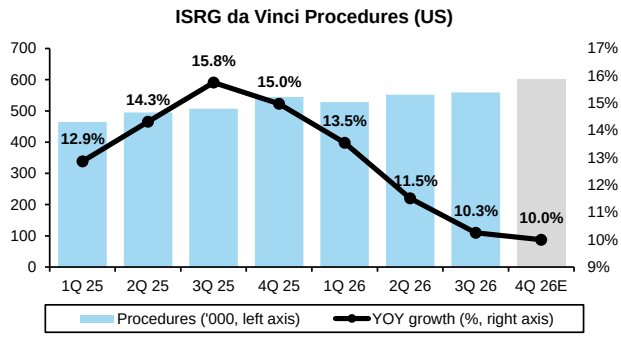
Gross margin was 69.9%, beating consensus (68.1%) by 180bps. ISRG booked an IEEPA tariff refund benefit of $28mn in the quarter, which drove ~100bps of the 180bps GM favorability (GM without tariff benefit, ~68.9%). The remainder of the year-over-year increase vs 3Q25 (68.0%) reflects product cost reductions and fixed overhead leverage.

Operating margin was 41.6%, 220bps ahead of consensus (39.4%), including the $28mn pretax benefit tied to the refund of previously paid IEEPA tariffs (OM without tariff benefit ~41%).

EPS of $3.00 grew 25% and beat consensus ($2.64) by 13.6%, including a benefit of $0.06 per diluted share related to tariff refunds. Excluding the tariff benefit, EPS of $2.94 grew 23% and still beat consensus by over 11%.

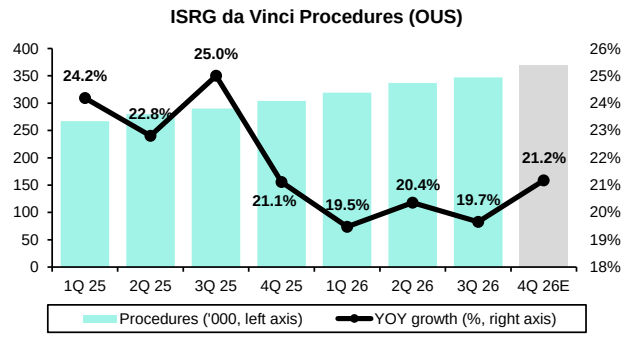
Buyback. Intuitive repurchased 7.8mn shares of its common stock for $2.94bn during the third quarter of 2026—which is just shy of the ~$3.6bn the company spent on buybacks over the previous four quarters (3Q25 through 2Q26). As we have noted in the past, Intuitive has a strong track record as a buyer of their own stock.

EXHIBIT 1: **U.S. dV procedure growth decelerated by 120bps from 2Q26 to 3Q26***



*Adjusting for harder Q3 comp, 2-year stack procedure growth flattened out: 26.2%, 25.8%, and 25.8% in Q1, Q2, Q3 respectively
Source: Company reports; Bernstein estimates & analysis

EXHIBIT 2: **OUS dV procedure growth decelerated slightly off a tougher comp***



*Adjusting for harder Q3 comp, 2-year stack procedure growth picked up: 43.7%, 43.2%, and 44.7% in Q1, Q2, Q3 respectively
Source: Company reports; Bernstein estimates & analysis

U.S. procedure growth, which decelerated to 10%, was the focal point for investors

Per Exhibit 1, U.S. da Vinci procedure growth decelerated to 10.3% in 3Q26, continuing a trend of deceleration from 15.8% in 3Q25 to15.0% in 4Q25 to 13.5% in 1Q26 and to 11.5% in 2Q26. Adjusting for comps, 2-year stack U.S. procedure growth remained steady: 26.2%, 25.8%, and 25.8% in Q1, Q2, and Q3, respectively. Although U.S. procedure growth (10.3%) beat sell-side consensus (8%) by 200bps, positive alt data reports during the quarter pushed the buy-side "whisper" number closer to 12%.

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ACA headwind persists. Recall that on the 2Q26 call, management highlighted declining ACA enrollment as a key contributor to U.S. procedure growth deceleration, sizing it as a drag of roughly 50bps-100bps on 2Q26 procedure growth. The ACA headwind was not discussed in depth on the Q3 earnings call, but in our follow-up, management indicated that the headwind persisted into 3Q26 and may have gotten a touch worse—the team estimated the headwind on 3Q26 U.S. procedure growth as maybe a little higher in the same 50bps-100bps range vs. Q2 impact.

Large U.S. opportunity remains. ISRG remains confident on U.S. procedure growth trajectory. Management broke down the U.S. opportunity into (1) the immediately addressable opportunity and (2) the longer-term opportunity to expand into new procedures. Focusing on the immediately addressable opportunity, management was confident that room to grow was still significant, especially in benign general surgery. Leadership emphasized that growth in robotics adoption was contingent on helping customers understand how a robotic approach compares clinically and economically against competing modalities like laparoscopy (minimally-invasive surgery using long, rigid instruments through small incisions) and open surgery (traditional surgery through a large incision). While Intuitive has long invested in generating and sharing data comparing the modalities, management highlighted that customers are increasingly validating the advantages of robotics using their own analytics, showing robotics compares favorably against competing modalities. Combined with Intuitive's broader ecosystem, strength of commercial execution, capacity-expansion efforts, clinical service training, and pricing initiatives, management believes Intuitive has a strong foundation to capture the significant remaining U.S. procedure opportunity, even before considering the next frontier of new indications.

> *"...the **unit opportunity in front of us in the U.S. is significant**."*

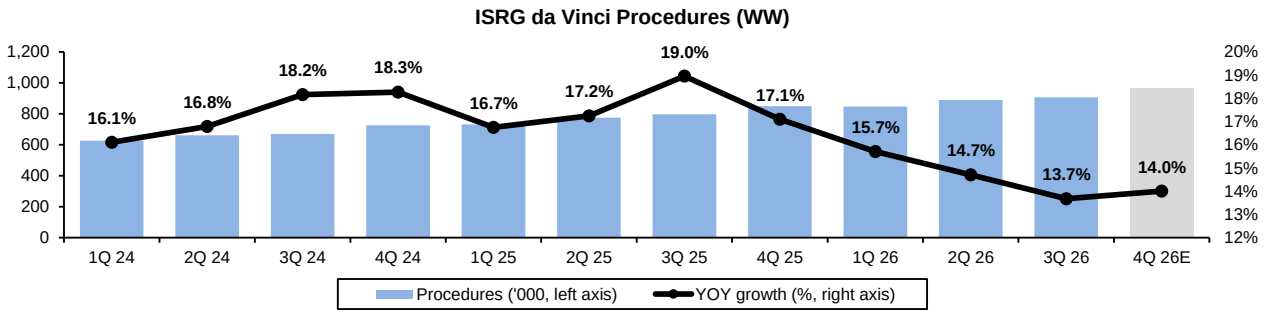
> *"...When I'm talking to customers, in order for them to adopt robotics across the benign general surgery areas, as well as other benign indications, **they really want to see how it compares to the alternatives**. **Where laparoscopy is well entrenched,.., and against open surgeries** sometimes. They want to **see how it's doing clinically, how it's doing economically**. [...] In Q3, I had the opportunity actually to meet with about five large IDN customers. When I was meeting with them, what I'm seeing is now they are developing their own real-time dashboards, looking at the economics and the clinical outcomes of da Vinci relative to laparoscopy and open. I think that's a shift that I believe is worth noting, because it's moving from anecdotes and sort of episodic data that they may look at once a year, and they're looking at it on a routine basis. When I saw those data and talked to those customers, **robotics is comparing favorably as compared to the other modalities**. **You take that sort of foundation of data.** You get directional data from studies like COMPARE, but you get the actual data in our customer's hand through these interactions like I'm describing. **Combine that with our portfolio, the rest of our ecosystem, with the commercial performance of our capital teams expanding capacity, with the focus of our commercial teams broadly, clinical service training, and in the pricing actions [...] described**. And I think **that's the foundation of durable U.S. procedure growth into that significant opportunity**."*

4 areas of focus. Management outlined their 4 areas of focus to drive U.S. procedure growth: (1) adding capacity to support benign general surgery growth, (2) focusing on the ASC opportunity, with the first two areas supported by Intuitive's I&A pricing actions and tiered portfolio, (3) progressing robotic adoption in newer procedures like cardiac and breast, and (4) in-progress R&D programs that have the potential to add indications worldwide. Management framed the first two initiatives as more near-term, with the latter two as more long-term.

> *"Those **first two areas are supported by both the I&A pricing actions that we have described and our tiered portfolio**. If you want to invest in da Vinci 5 in the hospital with its capability, with a capability that will only grow every year as we do software updates and extend the ecosystem, that is a good investment. Our tiered portfolio offers those customers an XiR in a HOPD or an ASC. The **other two areas that we are driving, we are focused on over longer horizons**."*

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EXHIBIT 3: **Da Vinci procedures grew 13.7% in Q3, 30bps faster than consensus (13.4%)***



*Adjusting for harder Q3 comp, 2-year stack procedure growth picked upt: 32.4%, 31.9%, and 32.7% in Q1, Q2, Q3 respectively
Source: Company reports; Bernstein estimates & analysis

Stronger-than-expected global procedure growth

Per Exhibit 3, da Vinci procedures grew 13.7% globally in 3Q26, roughly 30bps faster than consensus (13.4%), including 10.3% growth in U.S. procedures and 19.7% growth in international procedures (Exhibit 2). Outside of the U.S., growth was led by the U.K., Germany, and Italy (Europe), India and Taiwan (Asia), and Canada, Australia, and Brazil (rest-of-world markets). In Japan, procedure growth accelerated, showing improvements in response to reimbursement changes that went into effect June 1. In China, procedures were in line with the corporate average, as pressure continues as a result of lower tender volumes and higher competitive intensity.

OUS benign procedure opportunity. Management emphasized benign procedures as a majority of the unpenetrated OUS opportunity, highlighting accelerating growth from 34% in Q1, to 37% in Q2, to 41% in Q3, with the strongest growth in hernia repair and cholecystectomy.

> *"Benign procedures represent **over a quarter of our international volume** today and a **significant majority of the gap between our current international volumes and the addressable opportunity**, which is why they are a focus of our investments."*

Progress in cardiac, breast. Within Intuitive's newest procedure opportunities, growth has been healthy with cardiac procedures up 40% and breast procedures up 42%, although management acknowledges that procedure volumes for this category are still small. In cardiac, Intuitive has also received the CE mark for use of dv5 in cardiac procedures in Europe and management estimates that the line-of-sight cardiac opportunity is between 300,000 and 400,000 procedures per year in cleared regions.

Strong shipments beat by 14.7%

Intuitive shipped 546 da Vinci systems in Q3, beating consensus (476) by 14.7% and growing 28% YoY in da Vinci placements (versus 427 in 3Q26). Of the 546 shipments, 315 were da Vinci 5 units (including 124 dual consoles), bringing the dv5 installed base to just above 2,000 systems. The beat in systems was driven by equally strong U.S. placements of 335 (15.1% beat) and international placements of 211 (12.8% beat). The strong beat demonstrated a strong capital quarter despite more reserved procedure growth.

Installed base growth acceleration. Per Exhibit 4, da Vinci installed base growth accelerated in U.S. and OUS markets. Globally, net placements of da Vinci systems grew by an impressive 38% year over year, a significant acceleration from 4% net placement growth over the past couple of quarters (see Exhibit 5). After several quarters where hospitals have been more focused on upgrading existing fleets, it's encouraging to see the net placements number make a strong move up.

Healthy OUS shipments. International shipments of 211 (12.8% beat) grew 29% YoY, led by 115 placements in Europe (up 83% YoY), 78 in Asia (up 30% YoY), and 18 rest-of-world (down 56%). Europe's strong performance was driven by record placements in Portugal, Turkey, and Austria, as well as solid growth in Poland, Croatia, and Romania. In 2027, Intuitive plans to accelerate their expansion into additional countries.

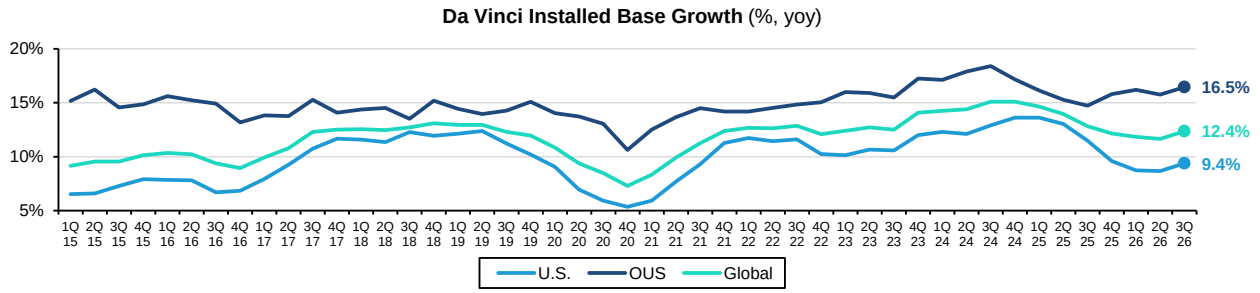
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Tiered system pricing. Intuitive intends to leverage its tiered system portfolio. Across all geographies in Q3, ISRG placed 37 da Vinci X systems at an ASP of $500k and 65 refurbished Xi systems (XiR) at an ASP of $1.2mn.

Focus on ASCs. Intuitive emphasized that their goal of entering ASCs was an early-stage, multi-year effort and that uneven, quarter-to-quarter placements should be expected. That said, in the quarter, Intuitive placed 18 systems in U.S. ASCs, including 15 XiR systems.

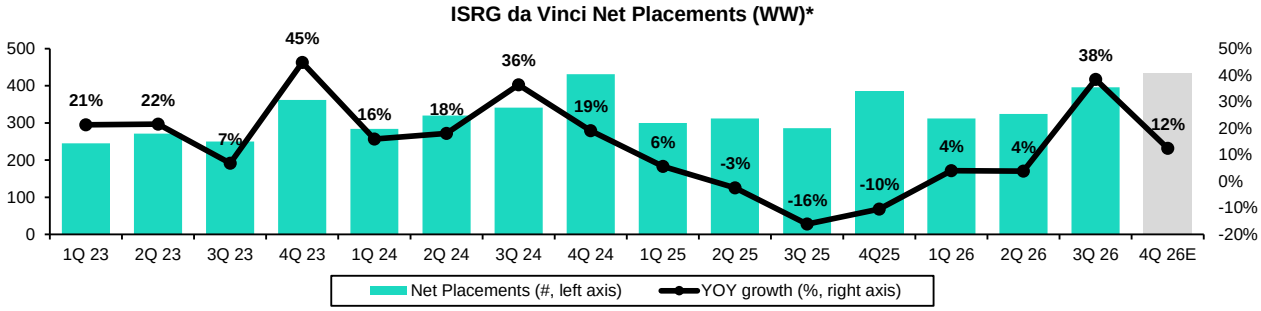
> *"...we've more recently **added a focus on the ASC opportunity.** If you look at the number of systems we've placed in ASCs last two quarters combined, **that is more than we have placed in ASCs in almost the last three years**, and we think that continues to be an attractive opportunity for us."*

EXHIBIT 4: **Installed base growth accelerated in all regions, including a move up from 8.7% to 9.4% in the U.S.**



Source: Company reports; Bernstein analysis

EXHIBIT 5: **Growth of global net da Vinci placements shot up from 4% in Q2 to 38% in Q3**



* Defined as total da Vinci shipments (including SP) minus trade-ins
Source: Company reports; Bernstein estimates & analysis

I&A pricing changes to lower revenue per procedure by 3%-5% (better than expected)

On the Q3 call, Intuitive outlined three upcoming pricing changes for Instruments: (1) volume-based pricing, (2) expansion of its extended use program (EUP), and (3) policy-driven price reductions in China.

Impact not as bad as feared. Coming into the Q3 call, investors worried that the new Extended Use Program could depress I&A revenue per procedure by around 7% in 2027, roughly equivalent to the magnitude of the impact ISRG communicated when they rolled out the first EUP program ~6 years ago. Together, the three price actions ISRG announced here are expected to reduce da Vinci I&A revenue per procedure by approximately 3% to 5% on a mix-constant basis (i.e., holding procedure, product, and geographic mix constant) once fully implemented, which is not as bad as investors had feared.

Volume-based pricing is the biggest driver. Under volume-based pricing, customers can get discounts by hitting volume thresholds, with deeper discounts going to high-volume, cost-sensitive benign procedures. On the other hand, I&A per procedure will remain steadier for less cost-sensitive procedures. The company plans to launch volume-based pricing together with EUP (1H27). In our follow-up, management highlighted that volume-based pricing was the largest of the three headwinds contributing to the 3%-5% reduction in I&A revenue per procedure, followed by China and then the new EUP program.

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EUP to drive procedure volume. Intuitive is extending the useful lives of select core EndoWrist instruments (alongside volume-based pricing) in 1H27, targeting high-volume benign procedures where cost remains a barrier to adoption. Specifically on timing, management expects the EUP rollout to begin in the U.S. in 1Q27 (subject to regulatory clearance), followed by Europe in 2H27. Notably, Intuitive indicated that customer cost savings on certain targeted procedures are expected to be substantially greater than the blended 3%-5% reduction in I&A revenue per procedure. Management expects the impact of the EUP to build throughout 2027. Supported by internal data and customer feedback from the company's earlier 2020 EUP rollout, management expressed confidence that improved economics will expand their addressable market and support incremental procedure volume. That said, this procedure volume benefit is expected to develop over time rather than immediately offset the pricing impact in 2027.

> *"With respect to elasticity, I would just say,* ***we believe that these actions will drive elasticity. That's the underlying intention because where we're applying them to the greatest extent is is where there are cost sensitivity or cost is a barrier to adoption. And the benefit for those high-volume benign procedures is quite a bit greater than the blended 3% to 5%. Obviously, that's our intention. We have looked back at the first EUP program that we did in 2020 and our data supports the existence of elasticity and we have confidence that implementation was successful.*** *That of course, is looking at our own data, but also getting feedback from our customers. And so over-time as we address economics you think about how we frame our line-of-sight opportunities as we -- as we address economics and bring costs down, we expect to increase the addressable market for intuitive. And so those are the underlying intents. But I think -- I think we have relative confidence in the elasticity that doesn't obviously turn-on immediately in 2027, but over-time."*

On China, Intuitive expects policy-driven price reductions to take effect next month (Nov 2026). Management described that new government charge codes cap what patients pay for da Vinci surgery, so the company has to price within those caps or risk procedure volumes falling sharply. Intuitive sees the impact being significant and second among the drivers to the 3% to 5% decline in I&A revenue per use.

> *"****In China, the charge code policy changes we described last quarter will result in a significant reduction in our INA prices in that market beginning in November.*** *We continue to engage with provincial governments on implementation and to progress through the green channel process for SP and Da Vinci 5.*

Positive offsets. Management highlighted that Force Feedback adoption and mix-shift to dV5 and SP are two positive offsets that are not included in the dilutive 3%-5% impact to I&A revenue per procedure. Further, management emphasized that they do not see lowering costs to improve access and capturing the value created by da Vinci 5's innovations as a trade-off. Rather, Intuitive sees both as integral to its strategy of expanding the addressable market and increasing patient access worldwide.

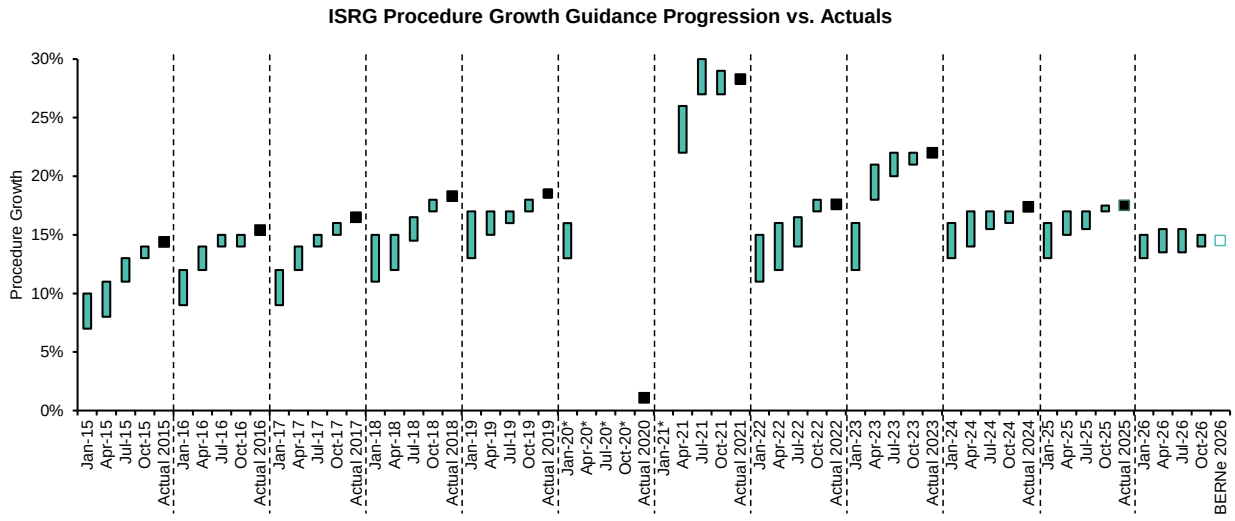
Narrowed FY26 procedure guidance to 14%-15%

Intuitive narrowed FY26 procedure growth guidance (unchanged at the midpoint) from the range of 13.5%-15.5% to 14%-15%, with expectations to be closer to the midpoint of this range (Exhibit 6). This guidance contemplates the impact of changes to ACA premium subsidies on patient behavior in the U.S., as well as tender volumes and competitive intensity in China.

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EXHIBIT 6: **ISRG typically upgrades procedure growth guidance each quarter; in 3Q26, management held the FY26 midpoint at 14.5% and tightened the range**



Source: Company reports; Bernstein estimates & analysis

Per Exhibit 7, FY26 adj gross margin guidance was raised to the range of 68.7%-69.3% (prev 68%-69%) on faster growth of newer products in dv5 and Ion, partially offset by product cost reductions and higher input costs in freight and semiconductor memory. This range includes an estimated 90bps impact from tariffs and related refunds. FY26 adj operating expense growth guidance was left unchanged at 11%-13%. Management expects to provide an update to their long-term opportunity in soft-tissue surgery in January.

EXHIBIT 7: **ISRG maintained FY26 procedure growth guidance at the midpoint and tightened the range; ISRG also raised gross margin guidance by 50bps at the midpoint**

Intuitive Surgical Guidance Date Provided:	1/22/2026	4/21/2026	7/16/2026	10/20/2026	Pre-Event Consensus	Pre-Event BERNe	Bernstein Forecast
For Period:	**FY26**	**FY26**	**FY26**	**FY26**	**FY26**	**FY26**	**FY26**
Implied Procedure # (k)							
Procedure Growth	13% - 15%	13.5% - 15.5%	13.5% - 15.5%	14.0% - 15.0%	14.9%	14.6%	14.5%
Gross Margin	67.0% - 68.0%	67.5% - 68.5%	68.0% - 69.0%	68.7% - 69.3%	68.4%	68.5%	69.0%
Opex Growth (yoy)	11% - 15%	11% - 14%	11% - 13%	11% - 13%	12.1%	12.0%	12.5%
Noncash Compensation ($mn)	$890 - $920	$890 - $920	$880 - $900	$860 - $870		$891	$870
Other Income ($mn)	$355 - $375	$315 - $335	$315 - $335	$300 - $310	$327	$339	$301
Tax Rate	22% - 23%	22% - 23%	22% - 23%	21.5% - 22.5%	22.9%	22.6%	22.0%
Revenue ($mn)					$11,760	$11,956	$11,995
EPS					$10.78	$11.06	$11.31
Shipments					1,943	1,970	2,016

Source: Company reports; Bloomberg; Bernstein estimates & analysis

ASC as an area of focus

ASC opportunity remains underpenetrated. Management estimates that ASCs account for slightly less than 10% of U.S. soft-tissue surgery volumes today and continues to grow. Of those ASC volumes, around 70% are associated with facilities owned by or affiliated with existing integrated delivery networks (IDNs), giving Intuitive an initial opportunity among customers and surgeons it already knows. With penetration of the broader ASC opportunity still low, management highlighted the segment as an area of focus.

Three factors underpinning ASC purchasing decisions. Competition remains a key investor focus as larger players (i.e., JNJ with Ottava, SYK with CMR Surgical, and MDT with Hugo) seek share in robotic surgery, particularly in ASCs. Against that backdrop, Intuitive emphasized that ASC customers are not seeking a particular robot architecture. Rather, customers want technology that is easy to learn and use, reliable, and capable of consistently supporting their target procedures. Management framed the purchasing decision around three requirements: (1) an appropriate architecture, (2) a portfolio of systems and

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pricing that fits ASC economics, and (3) a broader supporting ecosystem.

> *"**If you talk to ASC customers, what they're asking for is not a particular architecture. What they're asking for is something that can be repeatable, easy to learn, easy-to-use, reliable and serve the procedures that they're targeting for the ASCs in a very consistent way** because it's about volume and it's about getting patients out in a repeatable, knowable way. So if you use that as the problem to be solved in the ASC environment, now you can start saying what kind of technology matches that and best serves that problem or solves the problem to be solved. And so if you look at how might customers look at robotic competitors and make a choice. And for me, **it comes down to basically three areas. One is, it's got to be the right architecture for the ASC. It's got to be -- have the right portfolio of systems so that it can be priced in a manner that fits their economics. You got to have that broader ecosystem because we know that's what leads to good outcomes.**"*

Customers recognize that success requires more than just a robot. Beyond the robotic system itself, management emphasized the teams, capabilities, and supporting infrastructure needed to keep a robotic surgery program running efficiently. While customers are evaluating multiple solutions, Intuitive believes they recognize the importance of a broader ecosystem alongside a capable robot.

Confident in cart-based architecture across settings. Management remains confident that a cart-based design is the best option, noting that the company has engineered and tested nearly every type of architecture (including modular and table-mounted systems) with customers evaluating the designs alongside the company. Based on that experience, management continues to view da Vinci's cart-based architecture as offering the best balance of capability and usability across both hospital ORs and ASCs.

> *"… if I look-back over our 30 years, **we have engineered and tested just about every form of architecture there is out there. And that includes modular, table mounted and other types of robots.** We brought in customers to assess them and to evaluate them side-by-side with us. And **we continue to believe that a CART-based architecture consistent with da Vinci is the best option, is the best balance of capability and usability, no matter where you look** and it might be in the main OR or in the ASC environment. And so if you -- if we believe that it is not required to have a modular type of architecture to serve the needs of the customer in these segments where they are doing benign procedures and maybe increasingly complex procedures over-time."*

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: **Intuitive Surgical (ISRG) Financial Model**

Adjusted Income Statement	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Instruments & Accessories	3,518	4,277	5,079	6,019	7,153	8,015	9,164	10,561	12,149	1,686	1,735	1,797	1,934	1,867	1,968	2,008	2,172
Systems	1,680	1,680	1,966	2,474	2,923	3,211	3,610	4,166	4,813	651	685	769	818	719	764	840	888
Services	1,024	1,168	1,307	1,572	1,920	2,392	2,897	3,464	4,089	434	472	482	532	547	594	606	645
Sales	**6,222**	**7,124**	**8,352**	**10,065**	**11,995**	**13,619**	**15,671**	**18,191**	**21,051**	**2,771**	**2,892**	**3,049**	**3,283**	**3,133**	**3,327**	**3,454**	**3,705**
COGS (adj)	1,916	2,270	2,581	3,265	3,713	4,286	4,916	5,680	6,541	892	868	919	1,034	998	1,051	1,081	1,156
Gross profit (adj)	**4,306**	**4,855**	**5,771**	**6,800**	**8,282**	**9,332**	**10,754**	**12,511**	**14,510**	**1,879**	**2,024**	**2,130**	**2,249**	**2,135**	**2,276**	**2,373**	**2,549**
SG&A (adj)	1,445	1,673	1,815	2,031	2,213	2,545	2,927	3,424	4,006	523	522	539	629	601	600	620	724
R&D (adj)	712	785	889	1,009	1,206	1,387	1,595	1,866	2,183	280	284	321	321	322	326	369	370
Operating income (adj)	**2,149**	**2,397**	**3,067**	**3,760**	**4,863**	**5,401**	**6,233**	**7,221**	**8,320**	**1,077**	**1,218**	**1,270**	**1,298**	**1,212**	**1,349**	**1,384**	**1,456**
Interest and other income, net	47	192	325	366	301	298	330	353	361	85	83	76	57.5	54	69	81	94.5
Earnings before taxes	2,196	2,589	3,392	4,126	5,164	5,699	6,563	7,574	8,681	1,162	1,301	1,346	1,356	1,267	1,418	1,465	1,550
Taxes (adj)	480	535	728	862	1,137	1,282	1,477	1,704	1,953	256	294	289	298	285	319	330	349
Net income (adj)	**1,695**	**2,042**	**2,656**	**3,240**	**4,015**	**4,417**	**5,086**	**5,870**	**6,728**	**901**	**1,002**	**1,055**	**1,058**	**982**	**1,099**	**1,135**	**1,201**
Diluted EPS (adj)	**$4.68**	**$5.71**	**$7.34**	**$8.93**	**$11.31**	**$12.60**	**$14.50**	**$16.69**	**$19.08**	**$2.50**	**$2.80**	**$3.00**	**$3.01**	**$2.80**	**$3.13**	**$3.24**	**$3.43**
Avg Diluted Shares (M)	362.0	357.4	362.0	362.7	354.9	350.4	350.7	351.7	352.7	359.8	357.3	351.6	351.0	350.8	350.5	350.3	350.0
EBITDA (adj)	**2,487**	**2,799**	**3,512**	**4,375**	**5,568**	**6,053**	**6,916**	**7,923**	**9,043**	**1,256**	**1,410**	**1,435**	**1,467**	**1,376**	**1,517**	**1,542**	**1,618**

Growth Rates (YoY)	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Reported Growth																	
Instruments & Accessories	13.5%	21.6%	18.8%	18.5%	18.8%	12.1%	14.3%	15.2%	15.0%	23.3%	17.7%	18.3%	16.6%	10.7%	13.4%	11.7%	12.3%
Systems	-0.8%	0.0%	17.0%	25.8%	18.2%	9.9%	12.4%	15.4%	15.5%	24.5%	19.2%	30.3%	4.1%	10.5%	11.6%	9.2%	8.5%
Services	11.8%	14.0%	11.9%	20.3%	22.1%	24.6%	21.1%	19.6%	18.1%	19.5%	20.8%	21.8%	26.0%	26.1%	25.8%	25.6%	21.3%
Total	**9.0%**	**14.5%**	**17.2%**	**20.5%**	**19.2%**	**13.5%**	**15.1%**	**16.1%**	**15.7%**	**23.0%**	**18.5%**	**21.7%**	**14.6%**	**13.1%**	**15.0%**	**13.3%**	**12.8%**
EBITDA	-4.0%	12.5%	25.5%	24.6%	27.3%	8.7%	14.3%	14.6%	14.1%	38.8%	28.4%	26.7%	18.4%	-2.4%	5.7%	5.1%	17.6%
EBIT (adj)	-6.9%	11.6%	27.9%	22.6%	29.3%	11.1%	15.4%	15.9%	15.2%	40.3%	28.7%	30.1%	21.3%	-0.5%	6.2%	6.6%	20.1%
EPS (adj)	-5.3%	22.0%	28.4%	21.8%	26.6%	11.4%	15.1%	15.1%	14.3%	38.0%	28.0%	25.1%	18.8%	-0.2%	4.5%	7.6%	22.6%

Key ratios	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Gross margin	69.2%	68.1%	69.1%	67.6%	69.0%	68.5%	68.6%	68.8%	68.9%	67.8%	70.0%	69.9%	68.5%	68.2%	68.4%	68.7%	68.8%
SG&A	23.2%	23.5%	21.7%	20.2%	18.4%	18.7%	18.7%	18.8%	19.0%	18.9%	18.1%	17.7%	19.2%	19.2%	18.0%	18.0%	19.5%
R&D	11.4%	11.0%	10.6%	10.0%	10.1%	10.2%	10.2%	10.3%	10.4%	10.1%	9.8%	10.5%	9.8%	10.3%	9.8%	10.7%	10.0%
EBITDA	40.0%	39.3%	42.0%	43.5%	46.4%	44.4%	44.1%	43.6%	43.0%	45.3%	48.8%	47.1%	44.7%	43.9%	45.6%	44.6%	43.7%
Operating margin (adj)	**34.5%**	**33.6%**	**36.7%**	**37.4%**	**40.5%**	**39.7%**	**39.8%**	**39.7%**	**39.5%**	**38.9%**	**42.1%**	**41.6%**	**39.5%**	**38.7%**	**40.5%**	**40.1%**	**39.3%**
Tax rate, % EBT	21.8%	20.7%	21.5%	20.9%	22.0%	22.5%	22.5%	22.5%	22.5%	22.0%	22.6%	21.5%	22.0%	22.5%	22.5%	22.5%	22.5%
Net income (adj)	27.2%	28.7%	31.8%	32.2%	33.5%	32.4%	32.5%	32.3%	32.0%	32.5%	34.6%	34.6%	32.2%	31.3%	33.0%	32.9%	32.4%

Cash Flow	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
FCF	958	750	1,304	2,491	4,045	4,872	5,473	6,201	7,035	809	948	1,398	891	1,330	1,141	1,268	1,133
FCF, % sales	15%	11%	16%	25%	34%	36%	35%	34%	33%	29%	33%	46%	27%	42%	34%	37%	31%
FCF:Adj. NI	57%	37%	49%	77%	101%	110%	108%	106%	105%	90%	95%	133%	84%	135%	104%	112%	94%
FCF/share	$2.65	$2.10	$3.60	$6.87	$11.40	$13.90	$15.61	$17.63	$19.95	$2.25	$2.65	$3.97	$2.54	$3.79	$3.26	$3.62	$3.24
Cash from Operations	1,491	1,814	2,415	3,031	4,832	5,553	6,256	7,110	8,088	912	1,061	1,550	1,055	1,486	1,308	1,441	1,318
Cash from Investing	1,371	(360)	(3,273)	666	(1,258)	(681)	(784)	(910)	(1,053)	(915)	(27)	(152)	(164)	(157)	(166)	(173)	(185)
Cash from Financing	(2,572)	(288)	151	(2,364)	(4,979)	(853)	0	0	0	(1,354)	(288)	(3,021)	(317)	(207)	(211)	(215)	(220)
Change in cash	**289**	**1,166**	**(707)**	**1,332**	**(1,405)**	**4,019**	**5,473**	**6,201**	**7,035**	**(1,356)**	**747**	**(1,623)**	**574**	**1,123**	**930**	**1,053**	**913**
Capex	(532)	(1,064)	(1,111)	(540)	(533)	(681)	(784)	(910)	(1,053)	(103)	(113)	(152)	(164)	(157)	(166)	(173)	(185)
Buy backs	(2,607)	(416)	0	(2,295)	(4,781)	(853)	0	0	0	(1,123)	(320)	(3,021)	(317)	(207)	(211)	(215)	(220)

Balance Sheet	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	1Q 26	2Q 26	3Q 26	4Q 26E	1Q 27E	2Q 27E	3Q 27E	4Q 27E
Total Assets	12,974	15,442	18,743	20,459	20,143	24,784	31,114	38,430	46,831	20,111	20,877	19,152	20,143	21,155	22,303	23,498	24,784
Current Assets	6,253	7,888	7,111	9,780	8,846	13,500	19,774	26,931	35,057	8,810	9,543	7,836	8,846	9,874	11,035	12,220	13,500
LT Assets	6,721	7,554	11,632	10,679	11,297	11,284	11,340	11,499	11,774	11,302	11,334	11,316	11,297	11,281	11,268	11,278	11,284
Book Value of Equity	11,113	13,397	16,530	17,942	17,522	22,121	28,398	35,650	43,978	17,597	18,298	16,560	17,522	18,535	19,675	20,858	22,121
Total Liabilities	1,861	2,044	2,214	2,517	2,620	2,663	2,717	2,780	2,853	2,514	2,579	2,592	2,620	2,620	2,628	2,640	2,663
Cash	1,581	2,750	2,027	3,368	1,711	5,730	11,202	17,403	24,439	2,007	2,760	1,137	1,711	2,833	3,764	4,816	5,730
Total Debt	0	0	0	0	0	1	1	1	1								
Net Debt (cash)	(1,581)	(2,750)	(2,027)	(3,368)	(1,711)	(5,729)	(11,201)	(17,402)	(24,438)	(2,007)	(2,760)	(1,137)	(1,711)	(2,833)	(3,764)	(4,816)	(5,730)
Net Debt (cash): EBITDA	-0.6x	-1.0x	-0.6x	-0.8x	-0.3x	-0.9x	-1.6x	-2.2x	-2.7x	0.4x	0.5x	0.2x	0.3x	0.5x	0.6x	0.8x	0.9x
Total Debt (cash): EBITDA	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x
NOPAT (All in)	1,680	1,901	2,409	2,975	3,792	4,186	4,831	5,596	6,448	488	586	600	735	488	586	600	735
ROIC (All in)	13.6%	14.5%	15.2%	16.3%	19.8%	19.3%	17.8%	16.5%	15.5%	13.4%	15.4%	15.0%	17.3%	13.4%	15.4%	15.0%	17.3%

Source: Company reports; Bernstein estimates & analysis

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BERNSTEIN TICKER TABLE

			20 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ISRG (Intuitive Surgical)	O	USD	438.00	685.00	(19.0)%	USD	8.93	**11.31**	**12.60**	49.0	38.7	34.7
OLD								11.08	12.71			
SPX			7,712.57									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Intuitive Surgical Inc

We set a price target of $685 using a P/E multiple of 49x against our forward Q5-Q8 EPS estimate of $14.00. The P/E target is based on observed absolute and relative historical multiples and our outlook for forward growth. We also use a 30-year DCF analysis as a secondary input to our valuation.

RISKS

Intuitive Surgical Inc

Downside risks include: Worsening supply chain constraints, major product recall, earlier than expected introduction of surgical robots from major competitors, changes in treatment guidelines for critical procedures (prostatectomy, hysterectomy, etc.), changes to the economic environment that significantly reduce procedure volumes and/or healthcare spending levels, new tariffs on products or components manufactured outside the United States.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

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- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

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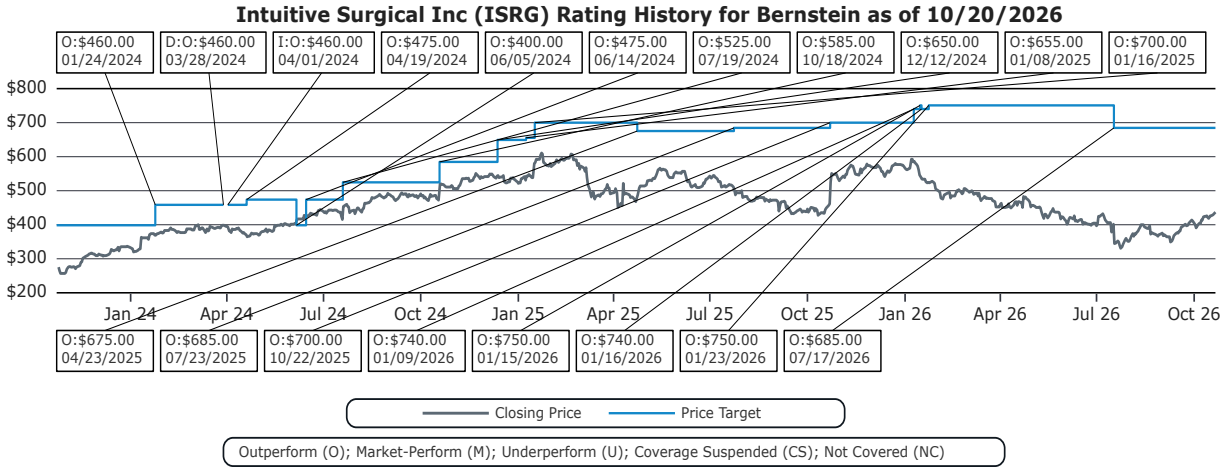
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Intuitive Surgical Inc.



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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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